April 29, 2025

Lieutenant Governor Susan Bysiewicz
President of the Senate
210 Capitol Avenue, Room 304
Hartford, CT 06106

Senator Martin Looney
President Pro Tempore of the Senate
Legislative Office Bldg., Rm. 3300
Hartford, CT 06106

Senator Bob Duff
Majority Leader of the Senate
Legislative Office Bldg., Rm. 3300
Hartford, CT 06106

Senator Stephen Harding, Jr.
Minority Leader of the Senate
Legislative Office Bldg., Rm. 3402
Hartford, CT 06106

RE: Letter in Opposition to Connecticut SB 1356

Dear Lt. Governor Bysiewicz, Senator Looney, Senator Duff, and Senator Harding:

On behalf of the advertising industry, we write to oppose Connecticut SB 1356.[1] We provide this letter to offer our non-exhaustive list of concerns about this bill. Our organizations support meaningful privacy protections for Connecticut residents. As described in more detail below, SB 1356 contains provisions that would make Connecticut's privacy law out-of-step with privacy laws in other states, thereby adding to the increasingly complex privacy landscape for both businesses and consumers across the country. Accordingly, we ask you to decline to advance the bill as drafted out of the Senate.

As the nation's leading advertising and marketing trade associations, we collectively represent thousands of companies across the country. These companies range from small businesses to household brands, advertising agencies, and technology providers. Our combined membership includes more than 2,500 companies that power the commercial Internet, which accounted for 12 percent of total U.S. gross domestic product ("GDP") in 2020.[2] By one estimate, nearly 80,000 jobs in Connecticut are related to the ad-subsidized Internet.[3] We would welcome the opportunity to engage with the Senate further on the non-exhaustive list of issues with SB 1356 outlined here.

I. Harmonization Across State Privacy Laws Fosters Consistency and Clarity for Consumers and Businesses

If enacted, SB 1356 would change Connecticut's existing privacy laws in ways that would make the state's approach to privacy an outlier in ways that would harm consumers. Connecticut should instead focus its efforts on harmonizing the bill with the approach to privacy in other states. A

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[1] Connecticut SB 1356 (2025 Session), located here (hereinafter, "SB 1356").
[2] John Deighton and Leora Kornfeld, *The Economic Impact of the Market-Making Internet*, INTERACTIVE ADVERTISING BUREAU, 15 (Oct. 18, 2021), located at https://www.iab.com/wp-content/uploads/2021/10/IAB_Economic_Impact_of_the_Market-Making_Internet_Study_2021-10.pdf.
[3] *Id.* at 123-24.

patchwork of differing privacy standards across the states would create significant costs for businesses and consumers alike. Efforts to harmonize state privacy legislation with existing privacy laws are critical to minimizing costs of compliance and fostering similar privacy rights for consumers no matter where they live. Below we provide a non-exhaustive list of ways SB 1356 would deviate from the dominant approach to privacy across the states:

- SB 1356 would include an overly restrictive limitation on data collection that would stifle the economy and impede the availability of data to improve products and services and combat fraud.
- SB 1356 would require controllers to provide the names of their third-party business partners in responses to access requests, creating an onerous new compliance requirement and competition concerns for controllers.
- SB 1356 would create a data broker registry that would not provide meaningful consumer protections.
- SB 1356 includes conflicting, untested knowledge standards in different parts of the bill, creating confusion and adopting an approach to "knowledge" taken in no other state or federal privacy law.
- SB 1356's definition of "publicly available information" would exclude data and inferences that are generated solely from public information.
- SB 1356 would remove nonprofit organizations from its exceptions section, diverging from most other state privacy laws which exempt nonprofits.
- SB 1356 would create confusion regarding what is a permissible use of personal data for "solely" internal operations, creating unnecessary friction and uncertainty for commonplace business functions.

Compliance costs associated with divergent privacy laws are significant. To make the point: a regulatory impact assessment of the California Consumer Privacy Act of 2018 concluded that the initial compliance costs to California firms would be $55 billion.[4] Another recent study found that a consumer data privacy proposal in a different state considering privacy legislation would have generated a direct initial compliance cost of $6.2 billion to $21 billion and ongoing annual compliance costs of $4.6 billion to $12.7 billion for the state.[5] Other studies confirm the staggering costs associated with varying state privacy standards. One report found that state privacy laws could impose out-of-state costs of between $98 billion and $112 billion annually, with costs exceeding $1 trillion dollars over a 10-year period, and with small businesses shouldering a significant portion of the compliance cost burden.[6] Harmonization with existing privacy laws is essential to create an

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[4] *See* State of California Department of Justice Office of the Attorney General, *Standardized Regulatory Impact Assessment: California Consumer Privacy Act of 2018 Regulations*, 11 (Aug. 2019), located at https://dof.ca.gov/wp-content/uploads/sites/352/Forecasting/Economics/Documents/CCPA_Regulations-SRIA-DOF.pdf.

[5] *See* Florida Tax Watch, *Who Knows What? An Independent Analysis of the Potential Effects of Consumer Data Privacy Legislation in Florida*, 2 (Oct. 2021), located at https://floridataxwatch.org/DesktopModules/EasyDNNNews/DocumentDownload.ashx?portalid=210&moduleid=34407&articleid=19090&documentid=986.

[6] Daniel Castro, Luke Dascoli, and Gillian Diebold, *The Looming Cost of a Patchwork of State Privacy Laws* (Jan. 24, 2022), located at https://itif.org/publications/2022/01/24/looming-cost-patchwork-state-privacy-laws (finding that small businesses would bear approximately $20-23 billion of the out-of-state cost burden associated with state privacy law compliance annually).

environment where consumers in Connecticut have privacy protections that are consistent with those in other states, while minimizing unnecessary compliance costs for businesses. Connecticut should not add to this compliance bill for businesses and should instead opt for an approach to data privacy that is in harmony with already existing state privacy laws.

II. Overly Restrictive Limitations on Data Collection Would Stifle the Economy

SB 1356 includes data minimization terms that would permit collection of personal data only if reasonably necessary and proportionate "to provide or maintain a product or service specifically requested by the consumer."[7] This overly restrictive limitation on personal data collection would impede business' ability to process data for the benefit of consumers and to enrich the availability of goods and services in the economy. The proposed data minimization term could impose significant limitations on the availability of personal data for developing new technologies, providing pertinent messaging and advertising to consumers, creating cost-effective and efficient services, and combatting fraud.

For example, the term would functionally prohibit the collection of personal data to develop new and innovative offerings unrelated to requested products, or to improve existing offerings, because controllers would be prohibited from collecting data outside of the context of providing a specific product or service requested by the consumer. The term would also hinder businesses from cross-selling products and services to their own customer base because collection of data for such a purpose would not necessarily be tied to a product or service the customer already knew about or requested specifically. The term could also impede the general availability of personal data for prospecting, *i.e.*, taking steps to find new customers who may be interested in a business's products or services. In addition, the proposed term would severely inhibit third-party data sources from collecting personal data to further vital consumer fraud prevention efforts. As a result of this data minimization term, third-party fraud prevention services may be forced to refrain from collecting and making data available that Connecticut businesses rely on to prevent fraud, thereby making Connecticut consumers more susceptible to identity theft and other negative outcomes.

The vast majority of states that have passed a data privacy law permit businesses to collect and process personal data as reasonably necessary and proportionate to achieve the purposes for which the personal data was collected, as disclosed to the consumer.[8] Connecticut's current privacy law adopts this well-reasoned approach. SB 1356 would contradict this reasonable, majority approach, thereby subjecting Connecticut consumers to fewer benefits of data processing than their counterparts in nearby states and other parts of the country. Connecticut should take steps to align SB 1356's data minimization terms with other states instead of adopting an onerous and untested approach to data collection and processing that could disadvantage Connecticut consumers and businesses.

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[7] SB 1356 at Sec. 5(a).
[8] *See, e.g.,* Cal. Civ. Code § 1798.100(c); Va. Code Ann. § 59.1-578(1).

III. SB 1356 Would Diverge from Existing Privacy Laws by Requiring Controllers to Disclose the Names of Specific Third-Party Partners

Another way SB 1356 diverges from existing state privacy laws is that it would require controllers to disclose the names of their third-party partners in response to a consumer access request.[9] The overwhelming majority of state privacy laws require companies to disclose the *categories* of third parties to whom they transfer personal data rather than the specific names of such third parties themselves in response to access requests.[10] Requiring disclosure of the names of entities would be operationally burdensome, as controllers change business partners frequently, and companies regularly merge with others and change names. For instance, a controller may engage in a data exchange with a new business-customer on the same day it responds to a consumer disclosure request. This requirement would either force the controller to refrain from engaging in commerce with the new business-customer until its consumer access disclosures are updated, or risk violating the law. This is an unreasonable restraint. From an operational standpoint, constantly updating a list of all third-party partners a controller works with would take significant resources and time away from companies' efforts to comply with other new privacy directives in SB 1356.

Even international privacy standards like the European Union's General Data Protection Regulation ("GDPR") do not require burdensome disclosures of specific third parties in response to data subject access requests, according to the text of the law. Mandating that companies disclose the names of their third-party partners could obligate companies to abridge confidentiality clauses they maintain in their contracts with partners and expose proprietary business information to their competitors. Finally, the consumer benefit that would accrue from their receipt of a list of third-party partners to whom a controller discloses data would be minimal at best. For these reasons, we encourage you to reconsider this onerous requirement, which severely diverges from the approach to required disclosures taken in existing state privacy laws.

IV. SB 1356's Data Broker Registration Requirement Will Not Provide Meaningful Consumer Protections

SB 1356 would require "data brokers," as defined, to register with the state, provide certain information as part of their registration, and pay an annual fee.[11] The disclosures required of data brokers by SB 1356's proposed registry include much of the information that companies already regularly include in their privacy policies. In addition, the bill's broad definition of "data broker" threatens to capture nearly every entity that does business in Connecticut—even entities that have direct, first-party relationships with consumers. Requiring essentially all companies that do business in the state to register as data brokers will not provide Connecticut residents with meaningful clarity about data brokers' practices but will rather serve as a repository of often redundant information about all entities doing business in Connecticut. As a result, the bill's data broker registration requirement is unnecessary, as it would do little to further meaningful consumer protections.

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[9] SB 1356 at Sec. 4(a)(6).

[10] *See, e.g.,* Cal. Civ. Code § 1798.110; Va. Code Ann. § 59.1-578(C); Colo. Rev. Stat. § 6-1-1301(1)(a); Utah Rev. Stat § 16-61-302(1)(a) (effective Dec. 31, 2023).

[11] SB 1356 at Sec. 11.

We and our members strongly support meaningful privacy protections for consumers. We believe, however, that SB 1356 will not further meaningful consumer protections in Connecticut. We therefore respectfully ask the Senate to decline to advance SB 1356 as proposed.

Thank you for your consideration of this letter.

Sincerely,

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